

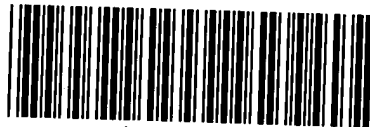
**Alpha Financial Markets Consulting Group  
Limited**

**Annual report and financial statements**

**Registered number 07160664**

**31 March 2018**

SATURDAY



\*A7LBXL1N\*

A15

22/12/2018

#66

COMPANIES HOUSE

## Contents

|                                                                                                           |   |
|-----------------------------------------------------------------------------------------------------------|---|
| Company Information                                                                                       | 1 |
| Directors' report                                                                                         | 2 |
| Statement of Directors' responsibilities in respect of the Directors' report and the financial statements | 3 |
| Independent Auditor's Report to the members of Alpha Financial Markets Consulting Group Limited           | 4 |
| Profit and Loss Account                                                                                   | 6 |
| Balance Sheet                                                                                             | 7 |
| Statement of Changes in Equity                                                                            | 8 |
| Notes                                                                                                     | 9 |

## Company Information

### Directors

ENB Fraser  
NB Baker  
NS Curham  
B Lantorp

### Company number

07160664

### Registered office

60 Gresham Street  
London  
EC2V 7BB

### Auditor

KPMG LLP  
St Nicholas House  
Park Row  
Nottingham  
NG1 6FQ

## **Directors' report**

The Directors present their report and the audited financial statements for the period ended 31 March 2018.

### **Principal activities**

The principal activity of the Company is that of a holding Company.

### **Results and dividend**

The results for the year are set out in the attached profit and loss account.

There were no dividends paid out during the year (2017: £nil). The Directors have recommended the payment of a final dividend of £16,475,000 (2017: nil), to facilitate the payment of the final Group dividend, paid by the Company's ultimate parent Company, Alpha Financial Markets Consulting plc, to its shareholders. This dividend will be facilitated by the receipt of a dividend of £10,000,000 from the Company's directly owned subsidiary, Alpha Financial Markets Consulting UK Limited.

### **Directors**

The Directors who held office during the year were as follows:

NB Baker  
ENB Fraser  
NS Curham  
B Lantorp

### **Political contributions**

The Company made no political donations or incurred any political expenditure during the year.

### **Disclosure of information to auditor**

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

### **Auditor**

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



**ENB Fraser**  
*Director*

60 Gresham Street  
London EC2V 7BB

13 December 2018

## **Statement of Directors' responsibilities in respect of the Directors' report and the financial statements**

The Directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework*.

Under Company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

## **Independent Auditor's Report to the members of Alpha Financial Markets Consulting Group Limited**

### **Opinion**

We have audited the financial statements of Alpha Financial Markets Consulting Group Limited ("the Company") for the year ended 31 March 2018 which comprise the *Profit and Loss Account, Balance Sheet and Statement of Changes in Equity* and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2018 and of its loss for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 *Reduced Disclosure Framework*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

### **Basis for opinion**

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

### **Going concern**

We are required to report to you if we have concluded that the use of the going concern basis of accounting is inappropriate or there is an undisclosed material uncertainty that may cast significant doubt over the use of that basis for a period of at least twelve months from the date of approval of the financial statements. We have nothing to report in these respects.

### **Directors' report**

The directors are responsible for the directors' report. Our opinion on the financial statements does not cover that report and we do not express an audit opinion thereon.

Our responsibility is to read the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the directors' report;
- in our opinion the information given in that report for the financial year is consistent with the financial statements; and
- in our opinion that report has been prepared in accordance with the Companies Act 2006.

### **Matters on which we are required to report by exception**

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

## **Independent Auditor's Report to the members of Alpha Financial Markets Consulting Group Limited (*continued*)**

### **Directors' responsibilities**

As explained more fully in their statement set out on page 3, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

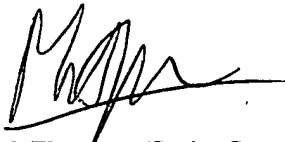
### **Auditor's responsibilities**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at [www.frc.org.uk/auditorsresponsibilities](http://www.frc.org.uk/auditorsresponsibilities).

### **The purpose of our audit work and to whom we owe our responsibilities**

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



**Mark Flanagan (Senior Statutory Auditor)**  
**for and on behalf of KPMG LLP, Statutory Auditor**  
*Chartered Accountants*  
St Nicholas House  
31 Park Row  
Nottingham  
NG1 6FQ

Dated: 20 December 2018

**Profit and Loss Account**  
*for the year ended 31 March 2018*

|                                             | Note | 2018<br>£000 | 2017<br>£000 |
|---------------------------------------------|------|--------------|--------------|
| Administrative expenses                     | 2    | (305)        | 181          |
| <b>Operating profit/(loss)</b>              |      | <b>(305)</b> | <b>181</b>   |
| Interest payable and similar expenses       |      | -            | -            |
| <b>Profit/(loss) before taxation</b>        |      | <b>(305)</b> | <b>181</b>   |
| Taxation                                    | 5    | -            | -            |
| <b>Profit/(loss) for the financial year</b> |      | <b>(305)</b> | <b>181</b>   |

In both the current and preceding year, the Company made no material acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The notes on pages 9-21 form part of these financial statements.

**Balance Sheet**  
*at 31 March 2018*

|                                                         | Note | 2018<br>£000  | 2017<br>£000  |
|---------------------------------------------------------|------|---------------|---------------|
| <b>Non-current assets</b>                               |      |               |               |
| Goodwill                                                | 6    | 784           | 784           |
| Investments                                             | 7    | 14,219        | 11,152        |
|                                                         |      | <u>15,003</u> | <u>11,936</u> |
| <b>Current assets</b>                                   |      |               |               |
| Debtors                                                 | 8    | 7,740         | 7,316         |
| Cash at bank and in hand                                |      | 138           | 1,084         |
|                                                         |      | <u>7,878</u>  | <u>8,400</u>  |
| <b>Current liabilities</b>                              |      |               |               |
| Creditors: amounts falling due within one year          | 9    | (6,877)       | (4,380)       |
| <b>Net current assets</b>                               |      | <u>1,001</u>  | <u>4,020</u>  |
| <b>Non-current liabilities</b>                          |      |               |               |
| Creditors: amounts falling due after more than one year | 10   | (277)         | -             |
| <b>Net assets</b>                                       |      | <u>15,727</u> | <u>15,956</u> |
| <b>Capital and reserves</b>                             |      |               |               |
| Called up share capital                                 | 11   | 6,051         | 6,051         |
| Share premium account                                   | 11   | 1,437         | 1,437         |
| Capital contributions reserve                           |      | 72            | 72            |
| Other reserves                                          |      | 76            | -             |
| Profit and loss account                                 |      | 8,091         | 8,396         |
| <b>Shareholders' funds</b>                              |      | <u>15,727</u> | <u>15,956</u> |

The notes on pages 9-21 form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 13 December 2018. They were signed on its behalf by:



**ENB Fraser**  
Director

Company registered number: 07160664.

## Statement of Changes in Equity

|                                                              | Called up<br>Share<br>capital<br>£000 | Share<br>premium<br>account<br>£000 | Capital<br>contributions<br>reserve<br>£000 | Other<br>reserves<br>£000 | Profit and<br>loss account<br>£000 | Total<br>equity<br>£000 |
|--------------------------------------------------------------|---------------------------------------|-------------------------------------|---------------------------------------------|---------------------------|------------------------------------|-------------------------|
| Balance at 1 April 2017                                      | 6,051                                 | 1,437                               | 72                                          | -                         | 8,396                              | 15,956                  |
| <b>Total comprehensive income for the period</b>             |                                       |                                     |                                             |                           |                                    |                         |
| Profit                                                       | -                                     | -                                   | -                                           | -                         | (305)                              | (305)                   |
|                                                              | <hr/>                                 | <hr/>                               | <hr/>                                       | <hr/>                     | <hr/>                              | <hr/>                   |
| Total comprehensive income for the period                    | -                                     | -                                   | -                                           | -                         | (305)                              | (305)                   |
|                                                              | <hr/>                                 | <hr/>                               | <hr/>                                       | <hr/>                     | <hr/>                              | <hr/>                   |
| <b>Transactions with owners, recorded directly in equity</b> |                                       |                                     |                                             |                           |                                    |                         |
| Consideration to be paid in equity                           | -                                     | -                                   | -                                           | 76                        | -                                  | 76                      |
|                                                              | <hr/>                                 | <hr/>                               | <hr/>                                       | <hr/>                     | <hr/>                              | <hr/>                   |
| Total contributions by and distributions to owners           | -                                     | -                                   | -                                           | 76                        | -                                  | 76                      |
|                                                              | <hr/>                                 | <hr/>                               | <hr/>                                       | <hr/>                     | <hr/>                              | <hr/>                   |
| <b>Balance at 31 March 2018</b>                              | <b>6,051</b>                          | <b>1,437</b>                        | <b>72</b>                                   | <b>76</b>                 | <b>8,091</b>                       | <b>15,727</b>           |
|                                                              | <hr/>                                 | <hr/>                               | <hr/>                                       | <hr/>                     | <hr/>                              | <hr/>                   |

The notes on pages 9-21 form part of these financial statements.

## Notes

*(forming part of the financial statements)*

### 1 Accounting policies

Alpha Financial Markets Consulting Group Limited (the “Company”) is a Company limited by shares, domiciled and registered in the UK. The registered number is 07160664 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 *Reduced Disclosure Framework* (“FRS 101”).

The Company is exempt by virtue of Section 400 of the Companies Act 2006 from the requirement to prepare Group financial statements. These financial statements present information about the Company as an individual and not about its Group.

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards as adopted by the EU (“Adopted IFRSs”), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

In the transition to FRS 101, the Company has applied IFRS 1, whilst ensuring that its assets and liabilities are measured in compliance with FRS 101. An explanation of how the transition to FRS 101 has affected the reported financial position, financial performance and cash flows of the Company is provided in note 16.

The Company’s parent undertaking, Alpha FMC Topco Limited, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha FMC Topco Limited are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- a Cash Flow Statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRSs;
- An additional balance sheet for the beginning of the earliest comparative period following the retrospective change in accounting policy (see note 16);
- Disclosures in respect of the compensation of Key Management Personnel; and
- Disclosures of transactions with a management entity that provides key management personnel services to the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

Judgements made by the Directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year are discussed in note 15.

## **Notes (continued)**

### **1 Accounting policies (continued)**

#### **1.1 Measurement convention**

The financial statements are prepared on the historical cost basis.

#### **1.2 Going concern**

The financial statements have been prepared on a going concern basis which the Directors consider to be appropriate for the following reasons:

- (a) The Directors have prepared cash flow forecasts for a period of 12 months from the date of approval of these financial statements which indicate that, taking account of reasonably possible downsides, the Company will have sufficient funds to meet its liabilities as they fall due for that period.
- (b) The Directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements.

#### **1.3 Foreign currency**

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

#### **1.4 Classification of financial instruments issued by the Company**

Following the adoption of IAS 32, financial instruments issued by the Company are treated as equity only to the extent that they meet the following two conditions:

- (a) they include no contractual obligations upon the Company to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the Company; and
- (b) where the instrument will or may be settled in the Company's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the Company's own equity instruments or is a derivative that will be settled by the Company's exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the Company's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

#### **1.5 Non-derivative financial instruments**

Non-derivative financial instruments relevant to the Company comprise of investments in subsidiaries, trade and other debtors, loans and borrowings, and trade and other creditors.

##### **Trade and other debtors**

Trade and other debtors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses.

##### **Trade and other creditors**

Trade and other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

##### **Investments in subsidiaries**

Investments in subsidiaries are carried at cost less impairment.

## Notes (continued)

### 1 Accounting policies (continued)

#### 1.5 Non-derivative financial instruments (continued)

##### *Interest-bearing borrowings*

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

#### 1.6 Impairment

##### *Financial assets (including trade and other debtors)*

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

##### *Non-financial assets*

The carrying amounts of the Company's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For goodwill, and intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are Grouped together into the smallest Group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or Groups of assets (the "cash-generating unit").

The goodwill acquired in a business combination, for the purpose of impairment testing, is allocated to cash-generating units, or ("CGU"). Subject to an operating segment ceiling test, for the purposes of goodwill impairment testing, CGUs to which goodwill has been allocated are aggregated so that the level at which impairment is tested reflects the lowest level at which goodwill is monitored for internal reporting purposes. Goodwill acquired in a business combination is allocated to Groups of CGUs that are expected to benefit from the synergies of the combination.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (Group of units) on a pro rata basis.

An impairment loss in respect of goodwill is not reversed.

In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

## Notes (continued)

### 1 Accounting policies (continued)

#### 1.7 Adopted IFRS not yet applied

The following Adopted IFRSs have been issued but have not been applied in these financial statements. Their adoption is not expected to have a material effect on the financial statements unless otherwise indicated:

- IFRS 9 Financial Instruments (effective for periods commencing on or after 1 January 2018).
- IFRS 15 Revenue from Contract with Customers (effective for periods commencing on or after 1 January 2018).
- IFRS 16 Leases (effective for periods commencing on or after 1 January 2019).

The Directors reviewed the impact that these new standards will have on the Company and do not believe that the impact will be material. The Company intends to adopt the standards in the reporting period when they become effective. The following standards are relevant to the Company but were not yet effective. These standards have not been early adopted by the Company:

#### *IFRS 9 Financial Instruments (effective for periods beginning on or after 1 January 2018)*

IFRS 9 changes the classification and measurement of financial assets and the timing and extent of credit provisioning. The Company has not adopted the standard early. The new categories per IFRS 9 are not expected to have a material impact on the financial assets as trade receivables will continue to be carried at amortised cost. An expected credit loss model replaces the incurred loss model. This requires an assessment of the likelihood of default and any potential loss that may arise in the event of default. The Company does not believe that the new standard would cause a material change in the provision for bad debts on trade receivables or any other financial assets because of the short-term nature of the trade receivables and the specific provisions currently being raised for them.

#### *IFRS 15 Revenue from contracts with customers (effective for periods beginning on or after 1 January 2018)*

This standard establishes principles for reporting information about the nature, amount, timing and uncertainty of revenue and cash flows arising from an entity's contracts with customers. Revenue would be recognised when a customer obtains control of a good or service and thus has the ability to direct the use and obtain the benefits from the good or service. The Company performed an analysis of the new five-step approach to recognise revenue and the impact on the reporting of revenue for the Company. Based on the analysis performed, the Company found that IFRS 15 will have no significant impact on the recognition and reporting of revenue.

## Notes (continued)

### 2 Auditor's remuneration

*Auditor's remuneration:*

|                                     | 2018<br>£000 | 2017<br>£000 |
|-------------------------------------|--------------|--------------|
| Audit of these financial statements | 2            | 2            |

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's parent, Alpha Financial Markets Consulting plc.

### 3 Staff numbers and costs

The Company had no employees during the current or prior periods.

### 4 Directors' remuneration

The Directors of the Company are paid out of other entities within the Group. The Directors believe that the value of their services in respect of the Company, in both the current and prior periods, were negligible and therefore, have not been disclosed.

### 5 Taxation

#### Recognised in the profit and loss account

|                                                   | 2018<br>£000 | 2017<br>£000 |
|---------------------------------------------------|--------------|--------------|
| <i>Current tax</i>                                |              |              |
| Current tax on income for the period              | -            | -            |
| Total current tax                                 | -            | -            |
| <i>Deferred tax</i>                               |              |              |
| Origination and reversal of temporary differences | -            | -            |
| Change in tax rate                                | -            | -            |
| Total deferred tax                                | -            | -            |
| Tax on profit                                     | -            | -            |

## Notes (continued)

### 5 Taxation (continued)

#### Reconciliation of effective tax rate

|                                                              | 2018<br>£000 | 2017<br>£000 |
|--------------------------------------------------------------|--------------|--------------|
| Profit/(loss) for the period                                 | (305)        | 181          |
| Total tax expense (including tax on discontinued operations) | -            | -            |
| Profit/(loss) excluding taxation                             | (305)        | 181          |
| Tax using the UK corporation tax rate of 19% (2017: 20%)     | (58)         | (36)         |
| Non-deductible expenses                                      | 74           | 36           |
| Deferred tax not recognised                                  | (16)         | -            |
| Total tax expense included in profit and loss                | -            | -            |

Reductions in the UK corporation tax rate to 18% (effective 1 April 2020) were substantively enacted on 26 October 2015, and an additional reduction to 17% (effective from 1 April 2020) was substantively enacted on 6 September 2016. This will reduce the Company's future tax charge accordingly. The deferred tax assets and liabilities at 31 March 2018 have been calculated based on the rates substantively enacted at the balance sheet date.

### 6 Goodwill

|                            | £000 |
|----------------------------|------|
| <b>Cost</b>                |      |
| At beginning of the period | 784  |
| At end of the period       | 784  |
| <b>Impairment</b>          |      |
| At beginning of the period | -    |
| At end of the period       | -    |
| <b>Net book value</b>      |      |
| At 31 March 2018           | 784  |
| At 31 March 2017           | 784  |

#### Acquisitions in the prior years

In a prior year, the trade and net assets of a subsidiary undertaking were transferred to the Company at their book value which was equal to their fair value. The cost of the Company's investment in that subsidiary undertaking reflected the underlying fair value of its net assets and goodwill at the time of the acquisition. As a result of this transfer, the value of the Company's investment in that subsidiary undertaking fell below the amount at which it was stated in the Company's accounting records. Schedule 1 to the Companies Act 2006 The Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008 (SI 2008 No. 410) requires that the investment be written down accordingly and that the amount be charged as a loss in the Company's profit and loss account. However, the Directors consider that, as there has been no overall loss to the Company, it would fail to give a true and fair view to charge that diminution to the Company's profit and loss account for the year and it should instead be re-allocated to goodwill and the identifiable net assets transferred, so as to recognise in the Company's individual balance sheet the effective cost to the Company of those net assets and goodwill.

The effect of this departure was to increase the goodwill in the holding Company's balance sheet by £784,000.

## Notes (continued)

### 7 Fixed asset investments

|                            | Shares in<br>Group<br>undertakings<br>£000 |
|----------------------------|--------------------------------------------|
| <b>Cost</b>                |                                            |
| At beginning of the period | 11,152                                     |
| Additions                  | 2,977                                      |
| Disposals                  | -                                          |
|                            | <hr/>                                      |
| At end of the period       | <b>14,219</b>                              |
|                            | <hr/>                                      |
| <b>Provisions</b>          |                                            |
| At beginning of the period | -                                          |
| Provided in the period     | -                                          |
|                            | <hr/>                                      |
| At end of the period       | -                                          |
|                            | <hr/>                                      |
| <b>Net book value</b>      |                                            |
| <b>At 31 March 2018</b>    | <b>14,219</b>                              |
|                            | <hr/>                                      |
| At 31 March 2017           | 11,152                                     |
|                            | <hr/>                                      |

#### *Acquisitions in the current year*

On 18 July 2017, the Group acquired 100% of the share capital and voting interest of TrackTwo GmbH for an upfront cash consideration of EUR 2,331,610, deferred consideration EUR 1,166,200 payable in January 2019 and 695 consideration shares in the Company with a fair value of £1 per share.

This acquisition has been accounted for under the acquisition method of accounting. The fair value adjustments relate to the identification of separately identifiable intangibles and associated deferred tax liabilities. For the remaining assets and liabilities acquired no fair value adjustments were identified. The table below sets out the book and fair values of the identifiable assets and liabilities acquired. Goodwill represents the excess of the cost of the acquisition over the fair value of the Group's share of the net identifiable assets of the acquired subsidiary at the date of acquisition.

In addition, as part of the purchase negotiations, the Company has put in place an annual earn-out arrangement and a final ownership consideration based on the financial performance of the TrackTwo over the three year period to July 2020 subject to continuous employment of vendor until July 2020.

The earn-out and final ownership consideration payments have been estimated by the Directors based on anticipated future earnings and discounted to current values. An expense of £391,000 has been recognised in the current year. This consists of £38,000 payable within one year, £277,000 to be settled after one year and £76,000 to be settled in equity.

## Notes (continued)

### 7 Fixed asset investments (continued)

The Company has the following investments in subsidiaries:

|                                                           | Country of<br>incorporation | Registered address | Principal activity           | Class and<br>percentage of<br>shares held -<br>31 March 2018 | Class and<br>percentage of<br>shares held –<br>31 January 2017 |
|-----------------------------------------------------------|-----------------------------|--------------------|------------------------------|--------------------------------------------------------------|----------------------------------------------------------------|
| <b>Subsidiary undertakings</b>                            |                             |                    |                              |                                                              |                                                                |
| Alpha Financial Markets Consulting Group Limited          | UK                          | 1                  | Intermediate holding Company | 100% ordinary                                                | 100% ordinary                                                  |
| Alpha Financial Markets Consulting Limited                | UK                          | 1                  | Consultancy services         | 100% ordinary                                                | 100% ordinary                                                  |
| Alpha Financial Markets Consulting (France) SA            | France                      | 2                  | Consultancy services         | 100% ordinary                                                | 100% ordinary                                                  |
| Alpha Financial Markets Consulting Inc                    | USA                         | 3                  | Consultancy services         | 100% ordinary                                                | 100% ordinary                                                  |
| Alpha Financial Markets Consulting (Luxembourg) SARL      | Luxembourg                  | 4                  | Consultancy services         | 100% ordinary                                                | 100% ordinary                                                  |
| Alpha Financial Markets Consulting Netherlands B.V.       | Netherlands                 | 5                  | Consultancy services         | 100% ordinary                                                | 100% ordinary                                                  |
| Alpha Financial Markets Consulting Singapore Pte. Limited | Singapore                   | 6                  | Consultancy services         | 100% ordinary                                                | 100% ordinary                                                  |
| Alpha Financial Markets Consulting Switzerland S.A.       | Switzerland                 | 7                  | Consultancy services         | 100% ordinary                                                | 100% ordinary                                                  |
| Glass Client Programs Limited                             | UK                          | 1                  | Dormant                      | 100% ordinary                                                | 100% ordinary                                                  |
| Alpha Technology Services Consulting Limited              | UK                          | 1                  | Dormant                      | 100% ordinary                                                | 100% ordinary                                                  |
| Alpha Data Solutions GmbH                                 | Germany                     | 8                  | Consultancy services         | 100% ordinary                                                | 0%                                                             |
| Alpha Financial Markets Consulting Hong Kong Limited      | Hong Kong                   | 9                  | Consultancy services         | 100% ordinary                                                | n/a                                                            |

#### Notes:

1 60 Gresham Street, London, EC2V 7BB

2 6 Square de l'Opera Louis Jouvet, 75009 Paris, France

3 400 Madison Avenue, New York, NY, 10017

4 19/21 route d'Arlon – bloc B, L-8009 Strassen, Luxembourg

5 Zuid-Hollandlaan 7, Den Haag, 2569 AL, The Netherlands

6 6 Raffles Quay, #16-01, Singapore (048580)

7 Rue du Rhone 14-1204 Geneva, Switzerland

8 Mergenthalerallee 73-75, 65760 Eschborn, Germany

9 Level 8 Admiralty Ctr Tower 11, 18 Harcourt Road Admiralty, Hong Kong

## Notes (continued)

### 7 Fixed asset investments (continued)

|                                                           | Share capital<br>and reserves<br>£'000 | Profit/(loss) for the<br>period<br>£'000 |
|-----------------------------------------------------------|----------------------------------------|------------------------------------------|
| <b><i>Subsidiary undertakings</i></b>                     |                                        |                                          |
| Alpha Financial Markets Consulting Group Limited          | 6,052                                  | (246)                                    |
| Alpha Financial Markets Consulting UK Limited             | 275                                    | 7,776                                    |
| Alpha Financial Markets Consulting (France) SA            | 107                                    | 1,199                                    |
| Alpha Financial Markets Consulting Inc                    | 143                                    | 456                                      |
| Alpha Financial Markets Consulting (Luxembourg) SARL      | 214                                    | 237                                      |
| Alpha Financial Markets Consulting Netherlands B.V.       | -                                      | 150                                      |
| Alpha Financial Markets Consulting Singapore Pte. Limited | 28                                     | 267                                      |
| Alpha Financial Markets Consulting Switzerland S.A.       | 40                                     | 69                                       |
| Glass Client Programs Limited                             | -                                      | -                                        |
| Alpha Technology Services Consulting Limited              | -                                      | -                                        |
| Alpha Data Solutions GmbH                                 | 22                                     | 352                                      |
| Alpha Financial Markets Consulting Hong Kong Limited      | 1                                      | 3                                        |

### 8 Debtors

|                                    | 2018<br>£000 | 2017<br>£000 |
|------------------------------------|--------------|--------------|
| Amounts owed by Group undertakings | 7,740        | 7,278        |
| Other debtors                      | -            | 38           |
|                                    | <b>7,740</b> | <b>7,316</b> |

Amounts owed to Group undertakings are interest free and are repayable on demand.

### 9 Creditors: amounts falling due within one year

|                                    | 2018<br>£000 | 2017<br>£000 |
|------------------------------------|--------------|--------------|
| Amounts owed to Group undertakings | 5,806        | 4,295        |
| Accruals and deferred income       | -            | 50           |
| Other creditors                    | 1,071        | 35           |
|                                    | <b>6,877</b> | <b>4,380</b> |

Amounts owed to Group undertakings are interest free and are repayable on demand.

### 10 Creditors: amounts falling due after more than one year

|                 | 2018<br>£000 | 2017<br>£000 |
|-----------------|--------------|--------------|
| Other creditors | 277          | -            |
|                 | <b>277</b>   | <b>-</b>     |

## Notes (continued)

### 11 Capital and reserves

#### Share capital

|                                              | 2018<br>£000 | 2017<br>£000 |
|----------------------------------------------|--------------|--------------|
| <i>Allotted, called up and fully paid</i>    |              |              |
| 328,243 ordinary 'A' shares of 10p each      | 33           | 33           |
| 5,970,623 ordinary 'B' shares of £1 each     | 5,971        | 5,971        |
| 3,788 ordinary 'C' shares of £3.10 each      | 12           | 12           |
| 82,413 ordinary 'ANV' shares of 10p each     | 8            | 8            |
| 1,685 ordinary 'E' shares of 1p each         | -            | -            |
| 100,000 ordinary 'Lux' shares of 10p each    | 10           | 10           |
| 250,000 ordinary 'USA' shares of \$0.10 each | 15           | 15           |
| 24,450 ordinary 'UK' shares of 10p each      | 2            | 2            |
|                                              | <hr/>        | <hr/>        |
|                                              | 6,051        | 6,051        |
|                                              | <hr/>        | <hr/>        |
| Shares classified as liabilities             | -            | -            |
| Shares classified in shareholders' funds     | 6,051        | 6,051        |
|                                              | <hr/>        | <hr/>        |
|                                              | 6,051        | 6,051        |
|                                              | <hr/>        | <hr/>        |

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

#### Share premium account

The balance classified as share premium relates to the aggregate net proceeds less nominal value of shares on issue of the Company's equity share capital.

#### Dividends

After the balance sheet date, the Directors of the Company recommended payment of a final dividend of £16,475,000 to facilitate the payment of the final Group dividend, paid by the Company's ultimate parent Company Alpha Financial Markets Consulting plc.

### 12 Contingencies

In the year, the Company was a cross-guarantor for the Beechbrook and Lloyds loans held by Alpha FMC Bidco Ltd. These loans were fully paid during the year. The Company does not owe any monies in respect of these loans as at 31 March 2018.

### 13 Related parties

#### Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS101.

## **Notes** *(continued)*

### **14 Ultimate parent Company and parent Company of larger Group**

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website [www.alphafmc.com](http://www.alphafmc.com).

### **15 Accounting estimates and judgements**

There are no significant sources of estimated uncertainty to disclose.

### **16 Explanation of transition to FRS 101 from FRS 102**

As stated in note 1, these are the Company's first financial statements prepared in accordance with FRS 101.

The accounting policies set out in note 1 have been applied in preparing the financial statements for the year ended 31 March 2018 and the comparative information presented in these financial statements for the year ended 31 March 2017.

In preparing its FRS 101 balance sheet, the Company has adjusted amounts reported previously in financial statements prepared in accordance with its old basis of accounting (FRS 102). The impact of the transition from FRS 102 to FRS 101 to the Company's financial position, financial performance and cash flows has been illustrated in the tables below.

**Notes** *(continued)*

**16 Explanation of transition to FRS 101 from FRS 102** *(continued)*

*Reconciliation of equity as at 31 March 2017*

|                                                | Note | FRS 102<br>£000 | 2017<br>Effect of<br>transition to<br>FRS 101<br>£000 | FRS 101<br>£000 |
|------------------------------------------------|------|-----------------|-------------------------------------------------------|-----------------|
| <b>Non-current assets</b>                      |      |                 |                                                       |                 |
| Goodwill                                       | a    | 598             | 186                                                   | 784             |
| Investments                                    |      | 11,152          | -                                                     | 11,152          |
|                                                |      | <u>11,750</u>   | <u>186</u>                                            | <u>11,936</u>   |
| <b>Current assets</b>                          |      |                 |                                                       |                 |
| Debtors                                        |      | 7,316           | -                                                     | 7,316           |
| Cash at bank and in hand                       |      | 1,084           | -                                                     | 1,084           |
|                                                |      | <u>8,400</u>    | <u>-</u>                                              | <u>8,400</u>    |
| <b>Current liabilities</b>                     |      |                 |                                                       |                 |
| Creditors: amounts falling due within one year |      | (4,380)         | -                                                     | (4,380)         |
|                                                |      | <u>15,770</u>   | <u>186</u>                                            | <u>15,956</u>   |
| <b>Net assets</b>                              |      |                 |                                                       |                 |
|                                                |      | <u>15,770</u>   | <u>186</u>                                            | <u>15,956</u>   |
| <b>Capital and reserves</b>                    |      |                 |                                                       |                 |
| Called up share capital                        |      | 6,051           | -                                                     | 6,051           |
| Share premium account                          |      | 1,437           | -                                                     | 1,437           |
| Capital redemption reserve                     |      | 72              | -                                                     | 72              |
| Profit and loss account                        |      | 8,210           | 186                                                   | 8,396           |
|                                                |      | <u>15,770</u>   | <u>186</u>                                            | <u>15,956</u>   |
| <b>Total shareholders' funds</b>               |      | <u>15,770</u>   | <u>186</u>                                            | <u>15,956</u>   |

## Notes (continued)

### 16 Explanation of transition to FRS 101 from FRS 102 (continued)

*Reconciliation of profit/(loss) for the year ended 31 March 2017*

|                                       | Note | FRS 102<br>£000 | 2017<br>Effect of<br>transition to<br>FRS 101<br>£000 | FRS 101<br>£000 |
|---------------------------------------|------|-----------------|-------------------------------------------------------|-----------------|
| Administrative expenses               | a    | (5)             | 186                                                   | 181             |
| <b>Operating profit/(loss)</b>        |      | <b>(5)</b>      | <b>186</b>                                            | <b>181</b>      |
| Interest payable and similar expenses |      | -               | -                                                     | -               |
| <b>Profit/(loss) before taxation</b>  |      | <b>(5)</b>      | <b>186</b>                                            | <b>181</b>      |
| Taxation                              |      | -               | -                                                     | -               |
| <b>Profit/(loss) for the year</b>     |      | <b>(5)</b>      | <b>186</b>                                            | <b>181</b>      |

#### *Notes to the reconciliation*

- a) The previously reported goodwill was being amortised under previous GAAP, however, is not amortised under IFRS and instead, an annual impairment review is undertaken.